

FAQs - EFS-06

1. In what ways, are ETFs better than MFs?

ETFs are considered as MF version 2.0. ETFs address the following two problems:

- Free liquidity issue: Whenever an investor buys or sells an ETF, all other investors in the pool shall not bear the transaction costs.
- Tax efficiency issue: As an ETF tries to track an index, a fund manager is indifferent whether the portfolio goes up or down. She need not worry about the distribution of tax gains among the investors.

2. Why should an index not fall when one of its constituents pays a dividend of 50 bucks?

An index is usually a reflection of the performance of large publicly traded firms in an economy. So it tracks how its constituents are doing and the activity of market participants in those constituents. When a company that is a part of the index declares dividends, nothing changes fundamentally. The company only shares part of the profit with its investors. Also, this change is not triggered by market participants; instead, the company declares it on its own. Hence, the index value remains unchanged.

3. Why is it so difficult for mutual funds not to charge transaction costs to only the participant who entered into or exited from a fund?

The problem is by the design of how MF NAVs are calculated. All MFs buy or sell assets at the end of the day; hence, a fund manager will transact with all net cash (existing cash + cash inflow - cash outflow), and all existing investors will bear the transaction cost.

4. On a given day on NSE, the Nifty index is down 1.71%. However, one of the ETFs tracking nifty is down 1.38%, and another is down 1%. Which is the correct ETF value?

All ETFs try to track the underlying index. The performance of the ETF is decided on how well it is tracking the index. The change in EFT closing price depends on the trading that happened during the day. The difference can occur due to market forces, but they generally will follow the index over time.